

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**OPPOSED MOTION FOR LEAVE TO FILE AMENDED COMPLAINT AND TO
EXTEND DISCOVERY AND BRIEFING SCHEDULE**

Pursuant to 46 CFR §§ 502.66(a), 46 CFR § 502.69, and 502.71 of the Federal Maritime Commission's Rules of Practice and Procedure, Complainants Impact Products, LLC and Safety Zone, LLC (collectively, the “Complainants”), by and through its undersign counsel, hereby submit this motion for leave to file amended complaint (the “Motion”) requesting leave to file the attached Verified Amended Complaint (the “Amended Complaint”) and to extend the discovery and briefing schedule. In support of the Motion, Complainants state as follows:

Complainants filed their Verified Complaint (the “Complaint”) against CMA CGM S.A. (“Respondent”) on February 14, 2024 (Doc. No. 1). The initial Complaint alleged various violations of the Shipping Act, including violations of 46 U.S.C. § 41102(c) for failure to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Complainants’ property and 46 U.S.C. § 41104(a)(10) for unreasonable refusal to deal or negotiate.

I. Complainants request leave to amend the Verified Complaint.

On May 21, 2024, Complainants filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del. May 21, 2024) (the “Bankruptcy Proceeding”). In the interim, Complainants were working through the bankruptcy process to determine who would ultimately purchase Complainants’ assets. On July

10, 2024, the Bankruptcy Court entered an order (a) approving the sale of the debtors' assets free and clear of lien, claims, interests, and encumbrances, (b) approving the assumption and assignment of certain executory contracts and unexpired leases, and (c) granting related relief (the "Bankruptcy Order"). See **Exhibit 2**. As part of the Bankruptcy Order, the Bankruptcy Court approved the sale and purchase of all rights, or causes of action which Complainants may have against any person with respect to the purchased assets. See **Exhibit A** attached to the Bankruptcy Order, p. 16 (emphasis added). TZ SSE Buyer, LLC, a Delaware limited liability company ("TZ SSE Buyer"), purchased and is now the owner of all of Complainants' assets (as of July 10, 2024), including the claims at issue in this proceeding. Pursuant to the Bankruptcy Order, Complainants have transferred and assigned all of the claims they have against Respondent in this proceeding to TZ SSE Buyer, who will now prosecute the claims against Respondent.

The Amended Complaint will simply substitute TZ SSE Buyer as the new complainant (the "Substitute Complainant") and remove Impact Products, LLC and Safety Zone, LLC as Complainants. The remaining allegations in the Verified Complainant will remain substantially similar. The Amended Complaint will also provide more detail about the sequence of events (who did what and when) and correct any errors in identifying Laufer Group International as a freight forwarder, while also explaining Laufer's role in assisting Complainants with the delivery of the relevant containers. Importantly, the Amended Complaint **does not** introduce any new allegations or charges.

The undersigned counsel did not require bankruptcy court approval to continue litigating the instant case while the bankruptcy action was pending, as no assets from the bankruptcy estate were involved. Complainants will further address this issue in their response to Respondent's Supplemental Motion to Dismiss. See Doc. No. 21.

In accordance with 46 C.F.R. § 502.66, the Commission or Presiding Officer has discretion to permit or reject amendments to any pleading, including complaints. Any proposed amendment may not broaden the issues without offering the opposing party the opportunity to reply to the amended pleading and to prepare for the broadened issues. *Id.* The Commission's rules do not provide predetermined criteria for assessing whether to grant or deny a motion to amend a complaint. 46 C.F.R. § 502.12 provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” The Federal Rules of Civil Procedure, more specifically, Fed. R. Civ. P. 15(a)(2) provides that, beyond the one-time allowance for a party to amend its pleading as a matter of course within 21 days of service of a responsive pleading outlined in Fed. R. Civ. P. 15(a)(1)(B), amendments to a pleading are also permitted either with opposing parties' written consent or leave of court. Leave should be freely given when justice so requires. Fed. R. Civ. P. 15(a)(2). “Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments... A court should not deny leave to amend based solely on time elapsed between the filing of the complaint and the request for leave to amend. Nor does the prolonged nature of a case affect whether the plaintiff may amend its complaint. Rather, the court should take into account the actions of other parties and the possibility of resulting prejudice.” *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citing *Caribbean Broad. Sys., Ltd. v. Cable & Wireless P.L.C.*, 148 F.3d 1080, 1084 (D.C.Cir.1998) (concluding that the length of litigation is relevant only insofar as it suggests bad faith or prejudice)).

Complainants' proposed Amended Complaint is attached hereto as **Exhibit 1**. The proposed amendments do not broaden the issues in this action but instead: (1) replace the Complainants with the party that purchased all of their assets, including the claims at issue in this proceeding; and (2) provide more specificity regarding the sequence of events (who did what and when) and correct any errors in identifying Laufer as a freight forwarder.

Fed. R. Civ. P. 15(a)(2) provides that leave to amend should be freely given "when justice so requires." This is clearly such an instance. The proposed amendments aim to add the new owner of the claims asserted against Respondent and to more accurately describe the relationships and facts already alleged in the Complaint. These changes will ultimately lead to a more just decision by the Commission.

This Motion for Leave to Amend is brought for good cause, is not futile, and is made without the opposing party's consent. Pursuant to 46 CFR § 502.71(a), on September 20, 2024, Complainants' counsel informed Respondent's counsel of the intention to file this instant motion and amended complaint. Respondent's counsel indicated their intention to oppose the motion.

For all the foregoing reasons, Complainants requests that the Presiding Officer grant the Motion and accept the Amended Complaint attached as **Exhibit 1**.

II. Complainants request that the Presiding Officer extend the discovery deadlines and briefing schedule to allow the Substitute Complainant time to complete discovery and file its opening brief.

Complainants recently filed a Motion to Compel Respondent to Cure Production Deficiencies and Produce a Corporate Representative for Deposition and Extension of Time to Complete Discovery and to File Briefs. *See* Doc. No. 18. This was caused by Respondent's refusal to cure deficiencies in its production of documents to Complainants and to produce a corporate representative for their deposition—all of which was mandated by the Presiding Officer's

Scheduling Order and Revised Scheduling Order. *See* Doc. No. 10 and 15. Complainants attempted to meet and confer with Respondent on multiple occasion to resolve these discovery issues but were ignored. Instead of working with Complainants to complete discovery, Respondent filed a motion to dismiss the Verified Complaint and a motion to exclude Complainants' expert opinions less than a week before Complainants opening brief was due. *See* Doc. No. 17 and 20. In addition, Respondent filed a supplemental motion to dismiss during the week Complainants' opening brief was due. *See* Doc. No. 21. Respondent never replied to Complainants request to produce a corporate representative for their deposition. Respondent also failed to cure its deficient production of documents until after the deadline for Complainants' opening brief expired. Due to Respondent's failure to abide by the Scheduling Order and Revised Scheduling Order, Complainants were unable to file their opening brief on time as the record was incomplete.

Therefore, Complainants request that the Presiding Officer extend the discovery deadline to allow the Substitute Complainants to take the deposition of Respondent's corporate representative. Further, Complainants requests that the Presiding Officer extent the briefing schedule to allow the Substitute Complainant to file their opening brief after it completes taking the deposition of Respondent's corporate representative.

Dated: September 23, 2024

Respectfully jointly submitted,

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CERTIFICATE OF SERVICE

I certify that on September 23, 2024, a true and correct copy of the foregoing **Complainants' Motion for Leave to File Amended Complaint and To Extend Discovery and Briefing Schedule** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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